

FIRST INFORMATION REPORT

(Under Section 173 BNSS)

1. **District:** Bangalore **PS:** BS&FB Bangalore
Year: 2025
FIR No: RC0782025E0003 **Date:** 19/11/2025

2. **Acts & Sections:**

Acts	Sections	R/W Section
IPC	120 B	
IPC	420	
IPC	468	
IPC	471	
IPC	477A	
PC Act-1988	13(2) r/w 13(1)(d)	

3. **Suspected offences:** Bank Fraud
(a) **Occurrence of offence:**
Day: **Time Period:**
From Date: 2017 **To Date:** 2024
(b) **Information Received at PS:** CBI, BSFB, BANGALORE
Date: 17/02/2025
(c) **General Diary Reference:**
Entry No.: 09
Date: 19/11/2025 **Time:** 19:22:46

4. **Type of Information:** Written

5. **Place of Occurrence:** Hyderabad, Telangana and other places

(a) **Direction & distance from PS:**
Beat No.:
(b) **Address:**
Plot No.: **Area:**
City: **Pin:**
State: **District:**
(c) **In case, outside the limit of this Police Station, then**
Name of PS: **District:**

6. **Complainant / Informant:**

Complainant 1

(a) **Name:** Mr. Akhilesh Kumar
(b) **Father's/Husband's Name:** Ramapati Lal Karn
(c) **Date/Year of Birth:**
(d) **Nationality:** INDIAN
(e) **Passport:**

Passport No.	Date Of Issue	Place Of Issue
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(f) **Occupation:** Deputy General Manager

(g) **Address:**

Plot No	Area	City	State	District	Pin
Deputy General Manager, SBI, Industrial Finance Branch	Navabharat Chambers, Raj Bhavan Road, Somajiguda	Hyderabad	Telangana	Hyderabad	500082

7. **Details of known/suspected/unknown accused with full particulars:**

Accused 1**Name:** M/s Vivimed Labs Ltd(1)**Address:**

Regd. Office at Plot No. 78-A, Kolhar Industrial Area, Bidar, Bidar, Karnataka, 585403

Corporate Office: North End, Road No.2, Banjara Hills, Hyderabad, Hyderabad, Telangana, 500034

Accused 2**Name:** Mr.Santosh Varalwar (2)**Address:**

Managing Director, M/s. Vivimed Labs Ltd, Hyderabad, Hyderabad, Telangana, 500034

R/o. Plot No. 3, Nagarjuna Nagar, Hyderabad, Hyderabad, Telangana, 500007

Accused 3**Name:** Mr.Sandeep Varalwar (3)**Address:**

Director, M/s.Vivimed Labs Ltd., Hyderabad, Hyderabad, Telangana, 500034

R/o Plot No.3, Nagarjuna Nagar, Hyderabad, Hyderabad, Telangana, 500007

Accused 4**Name:** Mr.Manohar Rao Varalwar (4)**Address:**

Director, M/s. Vivimed Labs Ltd, Hyderabad, Hyderabad, Telangana, 500034

R/o. Door No. 2-2-1105/26/3, Tilak Nagar, New Nallakunta, Hyderabad, Hyderabad, Telangana, 500044

Accused 5**Name:** Mr.Subash Varalwar (5)**Address:**

Director, M/s. Vivimed Labs Ltd, Hyderabad, Hyderabad, Telangana, 500034

R/o. House No. 4-7-67/3, Krishna Kuteer, Nagendra Nagar Colony, Habsiguda, Hyderabad, Hyderabad, Telangana, 500007

Accused 6**Name:** Unknown Public Servant(s) & Private Person(s)**Address:****8. Reasons for delay in reporting by the complainant/informant:**

No delay

9. Particulars of properties stolen:

Item Name	Age of Property	Estimated Value (in INR)
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10. Total value of property stolen:**11. Inquest Report/U.D. Case No., if any:****12. First information contents:**

A written complaint dated 01.01.2025 signed by Shri Akhilesh Kumar, Deputy General Manager, State Bank of India , Industrial Finance Branch, Hyderabad, Telangana has been received in this office on 17.02.2025. The same has been taken as part of FIR and is enclosed.

The Government of Telangana, vide order No. G.O. Ms.No.98 dated 25.08.2025 and its corrigendum / Errata issued vide GO Ms No. 114 dated. 27.09.2025 accorded consent u/s 6 of the DSPE Act, 1946 (Act 25 of 1946) to register the case by CBI, BSFB Branch, Bangalore.

The Government of India, Ministry of Personnel, Public Grievances and Pensions, Department of Personnel and Training, New Delhi in exercise of powers conferred by sub-section (1) of Section 5 read with section 6 of Delhi Special Police Establishment Act, 1946 (Central Act 25 of 1946), vide Notification No. F. No. 228/84/2025-AVD-II dated 03.11.2025 has extended the powers and jurisdiction of members of the Delhi Special Police Establishment, in the whole state of Telangana to register the case against M/s. Vivimed Labs Ltd. and its Promoter Directors viz., Shri. Santosh Varalwar, Shri. Sandeep Varalwar, Shri. Manohar Rao Varalwar, Shri. Subhash Varalwar and Unknown Public Servants and unknown others.

The allegations in the complaint disclosed commission of offences punishable u/s 120-B r/w 420, 468, 471, 477A of IPC and u/s 13 (2) r/w 13(1)(d) of Prevention of Corruption Act, 1988 by M/s Vivimed Labs Ltd. and its Promoter Directors Shri. Santosh Varalwar, Shri. Sandeep Varalwar, Shri. Manohar Rao Varalwar, Shri. Subhash Varalwar and Unknown Public Servants and unknown others.

Hence, a Regular Case u/s 120-B r/w 420, 468, 471, 477A of IPC and u/s 13 (2) r/w 13(1)(d) of Prevention of Corruption Act, 1988 is registered against the above mentioned company / persons and unknown public servants and unknown others. The investigation of the case is entrusted to Shri. Anish Kumar Singh, DSP, CBI, BSFB, Bangalore, for investigation.

13. Action taken : Since the above information reveals commission of offence(s) u/s as mentioned at Item No.2:

(1) Registered the case and took up the investigation: Yes

OR

(2) Directed

Name of IO:

Anish Kumar Singh

Rank:

DY. SUPDT. OF POLICE (BS&FB Bangalore)

No:

184365

to take the investigation

OR

(3) Refused investigation due to:

OR

(4) Transferred To PS:

District:

on point of jurisdiction.

Attached documents:

Document name

Complaint dated 01-01-2025 of SBI Vivimed Labs Ltd

Consent dated 25-08-2025 u/s 6 of DSPE Act from Govt of Telangana

Corrigendum dated 27-09-2025 to GO dated 25-08-2025 issued by Telangana Govt

Consent dated 03-11-2025 u/s 5 of DSPE Act from GOI

FIR read over to the complainant/informant, admitted to be correctly recorded and a copy given to the complainant / informant, free of cost.

R.O.A.C.

14. Signature/Thumb Impression of the complainant/informant

Signature of Officer in-charge Police Station

Name: Manjunath Singe

Rank: DY. INSP. GENERAL OF POLICE (BS&FB Bangalore)

15. Date and time of dispatch to the Court:

MANJUNATH SINGE
Digitally signed by
MANJUNATH SINGE
Date: 2025.11.19
19:28:44 +05'30'



భారతీయ స్టేట్ బ్యాంక్
भारतीय स्टेट बैंक
STATE BANK OF INDIA

Dy.No. 47
SP/Bank Complaint Cell
Date 07-01-2025

13(D)
06/01/2025

NO. IFB/HYD/2024-25/234

Date: 01.01.2025

The Joint Director,
BS&F Zone, Central Bureau of Investigation (CBI),
Head Office, Plot No. 5-B,
10th Floor, CGO Complex,
Lodhi Road, New Delhi-110003

Dear Sir,

Subject: Request for registration of First Information Report (FIR) against M/s Vivimed Labs Ltd. , its Managing Director & Directors namely Shri Santosh Varalwar, Shri Sandeep Varalwar, Shri Manohar Rao Varalwar and Unknown Public Servants and Unknown Others for commission of offence of criminal conspiracy, cheating, dishonest misappropriation of property, criminal breach of trust, criminal misconduct.

We are forwarding herewith duly signed complaint against M/s. Vivimed Labs Ltd. and others vide Ir No.IFB/HYD/2024-25/233 dated 01.01.2025 along with Checklist as per DFS circular for your examination and registering the case.

Yours faithfully,

Deputy General Manager.

PRAVIN PAWAR
HOZ/BSFZ/DELHI



Handwritten signature and 'BCC' initials

bank.sbi



2314 7202 (DGM's Sectt.)
2314 7241 (AGM/COO)
2314 7255 (Accts. Admn.)
2314 7271 (CM IBD)
2314 7261 (Trade Fin.)
EPABX : 2314 7200



2340 3862 (DGM's Sectt.)
2341 4057 (AGM/COO)
2314 7204 (RM I)
2314 7205 (RM II)
2314 7212 (RM III)
2314 7207 (RM IV)



2314 7206 (RM V)
2314 7213 (RM VI)
sbi.09103@sbi.co.in
Swift Code : SBININBB144
IFSC No. : SBIN0009103

పారిశ్రామిక ఫైనాన్స్ శాఖ
నవభారత్ చాంబర్స్,
రాజ్ భవన్ రోడ్, సోమజిగూడ,
హైదరాబాద్, తెలంగాణ - 500 082.
औद्योगिक वित्त शाखा
नव भारत चैम्बर्स,
राज भवन रोड, सोमाजीगुडा,
हैदराबाद, तेलंगाना - 500 082.

Industrial Finance Branch
Navabharat Chambers,
Raj Bhavan Road,
Somajiguda,
Hyderabad,
Telangana - 500 082.

NO. IFB/HYD/2024-25/233

Date: 01.01.2025

The Joint Director,
BS&F Zone, Central Bureau of Investigation (CBI),
Head Office, Plot No. 5-B,
10th Floor, CGO Complex,
Lodhi Road, New Delhi-110003

Dear Sir,

Subject: Request for registration of First Information Report (FIR) against M/s Vivimed Labs Ltd. ,its Managing Director & Directors namely Shri Santosh Varalwar, Shri Sandeep Varalwar, Shri Manohar Rao Varalwar and Unknown Public Servants and Unknown Others for commission of offence of criminal conspiracy, cheating, dishonest misappropriation of property, criminal breach of trust, criminal misconduct.

The. State Bank of India is a statutory corporation, established under an Act of Parliament i.e. the State Bank of India Act, 1955 with its Corporate Centre at State Bank Bhavan, Madame Cama Road, Mumbai and one of its branches at Industrial Finance Branch, Navabharat Chambers, Raj Bhavan Road, Somajiguda, Hyderabad.

2. I, Akhilesh Kumar S/o late Ramapati Lal Karn presently serving the Bank as Deputy General Manager, is authorized to lodge this complaint regarding the fraud committed by M/s Vivimed Labs Limited and its Managing Director & Directors namely Shri Santosh Varalwar, Shri Sandeep Varalwar, Shri Manohar Rao Varalwar, Shri Subash Varalwar and unknown public servants and unknown others for defrauding the Bank and causing wrongful loss to SBI amounting to Rs. 184.84 cr plus accrued interest as on 31.12.2024.

3. It is certified that in compliance of the Judgement of the Hon'ble Supreme Court of India dated 27th March, 2023 (SBI & Ors Vs Rajesh Agarwal & Ors) , the Bank had issued Show Cause Notice dated 16/08/2023 to Vivimed Laboratories Ltd and its Managing Director calling upon them to explain the overt and covert acts on their part in utilization of the credit facilities sanctioned and disbursed by the Bank and as to why the account of Vivimed Laboratories Ltd should not be categorized and declared as fraud as per RBI



Guidelines. The Managing Director of the Company submitted their representation and committee has gone through their representation to the said Show Cause Notice. After considering the evidence on record and the representation of the Managing Director of Vivimed Labs Ltd., the Competent Authority of the Bank has declared the account of M/s Vivimed Labs Ltd. as fraud on 20/06/2024.

1.	Name of the Bank	State Bank of India												
2.	Name and full address of the Branch (s)	Industrial Finance Branch, 1 st Floor, Navabharat Chambers, Raj Bhavan Road, Somajiguda, Hyderabad												
3.	Date of lodging of Complaint	<u>01.01.2025</u>												
4.	Time, date & place of occurrence of fraud: The fraud perpetrated by the accused persons was identified by Fraud Identification Committee (FIC) on 20/06/2024. The fraud has taken place at SBI/IFB/Hyderabad where the accused persons in conspiracy with each other had obtained the credit facilities in the account of Vivimed Labs Ltd. by misrepresentation, deception and inducement and misappropriated the funds of the Bank by entering into transactions which were in violation of the terms and conditions of sanction of the credit facilities. <table border="1"> <thead> <tr> <th>Details of Fraud Identification</th> <th>Date</th> </tr> </thead> <tbody> <tr> <td>Date of NPA</td> <td>28.01.2021</td> </tr> <tr> <td>Date of detection of fraud</td> <td>20.06.2024</td> </tr> <tr> <td>Date of Report of Fraud to RBI</td> <td>05.07.2024</td> </tr> <tr> <td>Fraud Folder No.</td> <td>16201720240003</td> </tr> <tr> <td>Amount of Fraud as reported to RBI (As per FMR-I)</td> <td>Rs 184.84 cr</td> </tr> </tbody> </table>		Details of Fraud Identification	Date	Date of NPA	28.01.2021	Date of detection of fraud	20.06.2024	Date of Report of Fraud to RBI	05.07.2024	Fraud Folder No.	16201720240003	Amount of Fraud as reported to RBI (As per FMR-I)	Rs 184.84 cr
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Fraud Folder No.	16201720240003													
Amount of Fraud as reported to RBI (As per FMR-I)	Rs 184.84 cr													
5.	Name of the Complainant State Bank of India represented by Shri Akhilesh Kumar, Deputy General Manager, Hyderabad.													

6. BRIEF PARTICULARS OF FRAUD



a). Brief History of the account

- The Company was established in the name of VVS Pharmaceuticals & Chemicals (VVSPC) as a Partnership firm in the year 1985 by Dr. V.Manohar Roa and others.
- In the year 1989 VVSPC was amalgamated with Emgi Pharmaceuticals & Chemicals Ltd. (EPCL) having registered Office at Plot No. 78-A, Kolhar Industrial Area, Bidar, Karnataka- 585403 and Corporate Office at North End, Road No. 2, Banjara Hills, Hyderabad-500034.
- In April,1997 the name of EPCL was changed to Vivimed Labs Ltd.
- The Managing Director of this Company is Shri Santosh Varalwar. The other Directors of this Company are Shri Sandeep Varalwar and Shri Manohar Rao Varalwar, Shri Subash Varalwar
- The company was banking with e-State Bank of Hyderabad(e-SBH) since 29.03.2012 and had availed various credit facilities from the Bank. At the request of the company and considering the business requirements the Bank(s) had renewed /sanctioned and extended the credit facilities on several occasions. The last renewal of credit facilities was done in the year 2020.

b). The details of credit facilities sanctioned by State Bank of India (e-SBH) and position of account as on the date of NPA are as under:

Amount in Rs. Crores

Facility	Limit Rs. (in cr)	Account No.	Outstanding as on
Cash Credit (CC)	137.00	52096852129	139.59
CCECL	12.50	39537533076	15.00
FITL	13.02	--	--
Term Loan	15.51	62476948101	28.08
Total Fund Based Limit (FB)	183.24	--	182.67
LC/BG	10.00	37466586998	2.17
Total Non Fund Based Limit (NFB)	10.00	--	2.17
Total (FN + NFB)	193.24	--	184.84



- Vivimed Labs Ltd. failed to adhere to the terms and conditions undertaken by it under the sanction letter and various loans and security documents.
- The company failed to repay the amount as per agreed terms. Even the interest dues were not serviced in time.
- Despite repeated follow ups and requests by the Bank, the company failed to regularize the Account by paying the outstanding amount to the Banks.
- The loan account of the company was declared as Non- Performing Asset (NPA) on 28/01/2021 in accordance with the directives /guidelines issued by the Reserve Bank of India (RBI) and the outstanding dues on the said date are Rs. 184.84 Cr. excluding interest accrued as on 31.12.2024.

c). The company under multiple banking arrangement was availing credit facilities from e-Allahabad Bank (now Indian Bank), Exim Bank, Bank of Bahrain & Kuwait and International Finance Corporation, Mumbai.

d). Forensic Audit of Vivimed Labs Ltd.:

In view of the irregularities in the account and after declaration of the account as NPA the Bank had appointed M/s Raju and Prasad, Chartered Accountants on 07/07/2021 for conducting Forensic Audit of the account of M/s Vivimed Labs Ltd for the period from 01/07/2017 to 30/06/2021. The Forensic Auditor submitted their report on 20/10/2022.

e). Major Finding of Forensic Audit Report dated 20/10/2022 of M/s Raju and Prasad are as under:

On verification of records, the Forensic Auditor has cited the following 6 different instances involving a total amount of ₹208.66 Cr which fall under the purview of "Diversion of Funds" and 9 different instances involving a total amount of ₹227.93 Cr which fall under the purview of "Misstatements in the Financial Statements / Company providing misleading information".



Details of diversion of funds:

1. Investment of Rs. 44.26 Cr in BBR Projects Pvt Ltd up to 30.06.2021 – the borrower company has advised that funds were provided for R&D activity. However, the company is involved in real estate activities and has no relation to activity of the company. Also, the company has changed its explanation several times and is not tenable. Further, disclosure was not made in annual reports of both the companies. Hence, this may be construed as diversion of funds.
2. Transactions with Vivimed Holdings Ltd (VHL) – the company sold one of its subsidiary (Vivimed Labs, Europe) to VHL during FY 2019 - 20. Subsequently, the company borrower company advised that sale transaction could not be materialized, however, entry was not reversed in books of accounts. Also, an amount of Rs. 65.21 Cr was credited to the account of VHL. However, the funds were received from sale transaction of Vivimed Labs, Mauritius (VLM). The company could not provide any supporting documents for such adjustment and the accounting treatment is not tenable as there is no direct connection between VHL and VLM.
3. Transactions with Vivimed Labs USA (VLU) – The company had outstanding receivables of Rs. 83.34 Cr from VLU on 30.09.2017. The company credited VLU account by Rs. 74.81 Cr and debited factory land and building. The borrower company was unable to explain the adjustment and did not provide any supporting documents. Hence, this appears to be a book entry to reduce balance receivable. VLU is currently reported to be shut down with no operations. The company has not received any economic benefit against receivables of Rs. 82.21 Cr as on 30.06.2021 without adequate business reasons and can be construed as diversion of funds.
4. Vivimed Labs, Europe (VLE) – The company had receivables of Rs. 71.63 Cr from VLE as on 01.04.2017 and the closing receivables as on 30.06.2021 is Rs. 22.60 Cr. The company claims that since VLE has been sold to another entity, balance receivable needs to be knocked off. It is observed that VLE has been sold to related party and amount of receivables from VLE is considered for DP in stock statement of Mar'21. The company has foregone receivables of



Rs.20.72 Cr from its related party without adequate justification and can be treated as fraud.

5. Vinnars Labs Pvt Ltd (VLPL) – borrower company has made purchase of Rs. 2.13 Cr but paid Rs. 20.27 Cr to VLPL during FY 2018 and FY 2019. Borrower company replied that payments were made towards facilitation of product stability, tech transfer, R&D works etc., As per R&D agreement, both the parties agreed to treat the amount as advance in their books of accounts. However, financials of VLPL as on 31.03.2019 and 31.03.2020 show total current and non-current liabilities as Rs. 4.59 Cr and Rs. 3.25 Cr respectively. Annual report of VLPL says that their principal activity is trading of specialty chemicals and fixed assets comprise of computer, furniture but no assets required to conduct R&D activity. Accordingly, payment made to VLPL is not in normal course of business and may be construed as diversion of funds.
6. Payment made to various parties – Borrower company has made payment of Rs. 36.64 Cr to various parties and the balances in the party accounts transferred to unreconciled items ledger account. No supporting documents like invoices, GRN etc provided to substantiate and also no efforts made to recover and may be construed as diversion of funds.

Instances coming under purview of misstatement of Financial statement:

1. Vivimed Labs Europe Ltd- VLE – Sale consideration not received: borrower company vide letter dated 29.07.2020 informed the Bank that ₹51.65 Cr was received in Mar 2019 and ₹108.35 Cr in Feb 2020 from VHL wrt sale of VLE. Whereas the bank statements, bank ledgers and the VHL ledger do not show any such receipts and also no details were provided by the company. Hence the same may be construed as misleading information provided to the bank.
2. Yantra Esolar India Pvt Ltd- YEIPL (Common Directors upto 07.05.2020): Borrower company made a payment of ₹10 Cr on 31.03.2019 through the ICICI account, said to be out of the proceeds received from sale of stake in Uquifa chain. As on 31.03.2021 an amount of ₹13.01 Cr is paid and shown as receivable from YEIPL (Related Party). Upon enquiry it was informed that borrower company has entered into a supply agreement dt 16.10.2018 for solar



installations in all the plants and hence these payments. Implies that borrower company has made advance payment to YEIPL. However, AFS of YEIPL for FY2019 does not show any advances received from customers. Hence the amount paid by borrower company is not acknowledged by YEIPL (Related Party) and no subsequent regular repayments, making payment of ₹13.01 Cr to an RP and not recovering the same is suspicious and does not seem in the normal course of business. Since the company has not made suitable disclosure/provision in their AFS it has misstated the AFS to that extent.

3. Advance for purchase of land (Bonthapally): ₹50.08 Cr is outstanding on 01.04.2017 and during FY2017-18, ₹3.37 salaries & allowances was debited and ₹50Cr was credited (tr to Oscar remedies). During FY2018-19, ₹22.19Cr was debited by crediting Consumption of finished goods. The borrower company explained that the Bonthapally unit was sold to Clariant in 2015-16 and these are the left out balances and to be provided in the books in future. Implies that the company will write off these balances and that too in the year of sale i.e., FY2016-17. Despite the company having confirmed that the unit was sold in FY17, subsequently various entries were posted in the ledger during FY2017-18 to FY2020-21. Accordingly, it appears that the company has under-booked cost to the extent of the above expenses (₹3.37Cr + ₹22.11Cr) in its P&L and inflated the assets to the extent of ₹50Cr. Hence it may be inferred that there is misstatement in AFS during FYs 2017-18 to 2020-21.
4. Advance for purchase of land (Vizag): During FYs 2017-18 to 2020-21, borrower company spent ₹1.28Cr to acquire Vizag SEZ land but capitalized ₹5.69Cr with no valid reason or explanation. It appears to be a book entry, as a result Profit and Assets to the extent of ₹4.41Cr may be overstated.
5. Sale of Intellectual Property Rights: During FY2017-18 the company sold Intellectual Property Rights (IPRs) to Vivimed Global Generics Pte Ltd, Singapore (VGGPL)- Related Party upto 29.01.2019, for ₹18.44Cr and treated it as Export Sales.



6. Investment in Vivimed Labs Mauritius (VLM): Statutory Auditor in his report for FY ended 31.03.2022 stated that, Vivimed Labs Mauritius Ltd (VLM) has lost its control over on subsidiary Uquifa and the ownership share has come down from 100% to 18.34%. However, investment worth crores is still shown in the books as on 31.03.2022.
7. Sanvita Bio Technologies P Ltd (SBTPL)- Sister Concern (common directorship): During FYs 2017-18 to 2021-22 borrower company has paid Rs. 16.07 cr to SBTPL. As on 30.06.2022 Rs. 11.97 cr debit balance (receivable) against SBTPL was termed as payments made as advance to acquire Global Marketing rights of the products of SBTPL. Subsequently the company had waived payments made to SBTPL except for ₹6.70Cr which was to be paid to borrower company, along with interest, by SBTPL as on 30.09.2022. From all the above it can be said that the company has not received any economic benefits against the same. Also, borrower company have not written off in the books of accounts as loss though waived off. ₹6.70Cr along with interest is to be received as on 30.09.2022.
8. Inventory : Though during plant visit the company officials had claimed that production is based on orders and hence not much of inventory would be maintained, during the review period, as per the respective AFS, the percentage of inventory over the sales were 112%(FY18), 112%(FY19), 95%(FY20) and 121%(FY21). Though it is a common practice to conduct periodic verification of the inventory by the company, but no details were provided despite various requests. It appears to be on the higher side.
9. Stock Statements (SS) vs AFS: As on 31st March of 2017 to 2021, it was observed that DP as per the SS and the AFS submitted by the company to the bank (AFS submitted much later) showed significant variances. The Bank has considered stock statement for the purpose of deriving DP which is less than the DP as per the AFS.



			(Rs in Cr) (2-3)
1	2	3	
As on	DP as in SS	DPas in AFS	Variance
31.03.2017	302.69	308.07	-5.38
31.03.2018	299.43	329.61	-30.18
31.03.2019	234.84	264.25	-29.41
31.03.2020	195.28	244.65	-49.37
31.03.2021	186.85	224.86	-38.01

Bank has also on many instances written to the company seeking explanation for the said variation.

- Based on the findings of the Forensic Audit Report dated 22.03.2022, the Fraud Identification Committee (FIC) of our Bank at its meeting dated 11/08/2023 resolved that there is prima facie evidence of fraud on account of diversion of funds to the extent of Rs. 208.66 crores and misstatements in the financial statements/company providing misleading information and criminal breach of trust.
- Thereafter, Show Cause Notice dated 16/08/2023 was issued to M/s Vivimed Laboratories Ltd and its Managing Director/Directors calling upon them to explain the overt and covert acts on their part to cheat the Bank and as to why the account of M/s Vivimed Laboratories Ltd should not be declared as fraud.
- It is certified that in compliance of the Judgement of the Hon'ble Supreme Court of India dated 27th March, 2023 (SBI & Ors Vs Rajesh Agarwal & Ors), the Bank had issued Show Cause Notice dated 16/08/2023 to M/s Vivimed Laboratories Ltd and its Managing Director/Directors calling upon them to explain the overt and covert acts on their part in utilization of the credit facilities sanctioned and disbursed by the Bank and as to why the account of M/s



Vivimed Laboratories Ltd should not be categorized and declared as fraud as per RBI Guidelines . The Managing Director of the Company submitted their representation and committee has gone through their representation to the said Show Cause Notice. After considering the evidence on record and the representation of the Managing Director of M/s Vivimed Labs Ltd., the Competent Authority of the Bank has declared the account of M/s Vivimed Labs Ltd. as fraud on 20/06/2024.

In view of the facts mentioned above, it is prima facie revealed that the Managing Director and Directors of Vivimed Labs Ltd in conspiracy with unknown public servants and unknown others have defrauded the Bank by resorting to deception, inducement, falsification of books of accounts and diversion of funds and thereby committed offences of criminal conspiracy, cheating, dishonest misappropriation of funds & criminal breach of trust and criminal misconduct and thereby caused undue wrongful loss to the Bank .

7. Name of the Accused Persons:

Name	Designation	Address
M/s Vivimed Labs Ltd.	Borrower Company	Registered office at Plot No. 78-A, Kolhar Industrial Area, Bidar, Karnataka – 585403. & Corp. Office: North End, Road No.2, Banjara Hills, Hyderabad PIN-500034
Shri Santosh Varalwar,	Managing Director	s/o Dr. V. Manohar Rao, Plot No. 3, Nagarjuna Nagar, Hyderabad 500007.
Shri Sandeep Varalwar,	Director	w/o Santosh Varalwar Plot No. 3, Nagarjuna Nagar, Hyderabad 500007
Shri Manohar Rao Varalwar,	Director	s/o V. Gurunath Rao, Door No. 2-2-1105/26/3, Tilak Nagar, New Nallakunta, Hyderabad 500044
Shri Subash Varalwar	Director	s/o Dr. Manohar Rao, House No. 4-7-67/3, Krishna Kuteer, Nagendra Nagar Colony, Habsiguda, Hyderabad 500007



8.	Role of accused persons including the role of public servants, Statutory Auditors, Stock Auditors & Empaneled Valuers	The aforesaid accused persons in connivance with each other and unknown public servants and unknown others committed the crime and thereby cheated the bank as stated in Point no. 06 above. Role of bank officials have not come to light neither in the Forensic Audit Report nor during the Internal Enquiry by the Bank. However, keeping in view the magnitude of the fraud and modus operandi involved in the crime, the involvement of unknown public servants and unknown others may also be examined during investigation.
9.	Grave irregularities committed by public servants	The role of Bank officials has not come to light either in the Forensic Audit Report or Internal Enquiry by the Bank. However, the role of unknown public servants may be examined during the investigation.
10.	Role of common conspirator	The above-mentioned accused persons had conspired to commit the crime and cheated the Bank.
11.	The names and address of prosecution witnesses: 1. Shri Akhilesh Kumar, Deputy General Manager, State Bank of India, Industrial Finance Branch, 1st Floor, Navbharat Chambers, Somajiguda, Hyderabad 500082. 2. Forensic Auditor: M/s Raju and Prasad, Chartered Accountants having office at 401, Diamond House, Adjacent to Amrutha Hills, Panjagutta, Hyderabad 500082. 3. The details of other witnesses will be provided during the course of investigation as and when required.	



12.	Action taken by the bank against public servants including departmental proceedings initiated. If so, details thereof	Staff accountability examination has been done and it has been closed by the competent authority of the bank.
13.	Whether investigation conducted by the Bank. If yes, details of the major findings	Other than Staff Accountability Examination as mentioned above, no internal investigation has been conducted by the Bank against the borrower. However, Forensic Audit was got conducted by State Bank of India from M/s Raju and Prasad, Chartered Accountants and the important findings thereof in the Forensic Audit Report dated 20/10/2022 as mentioned in para 6 supra revealed commission of cognizable offences on the part of the accused persons hence legal action may kindly be taken.
14.	Availability of original documents	The original documents on behalf of consortium Banks are held with Stressed Assets Management Branch, Prabhat Towers, Opp LHO (Amaravati Circle), Gunfoundry, Hyderabad 500001 The same will be produced as and when required during investigation.
15.	Whether accused persons were involved in any other fraud in the bank on an earlier occasion	No, as per available record.
16	Whether the fraud has Interstate, International ramification. If yes, give the details	Not as per the available information. However, the possibility cannot be ruled out.
17	Whether registration is authorized by CVO of the Bank.	The complaint is approved by the Competent Authority of the Bank and vetted by the Chief



		Vigilance Officer, State Bank of India, Corporate Centre, Mumbai.
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In view of the above-mentioned facts and circumstances, it is requested that a criminal case may be registered against Vivimed Labs Ltd., its Managing Director and Directors namely, Shri Santosh Varalwar, Shri Sandeep Varalwar, Shri Manohar Rao Varalwar, Shri Subash Varalwar and unknown public servants and unknown others for cheating the Bank and causing wrongful loss to the tune of Rs. 424.43 Crores as on 31.12.2024.

The details of available Securities and Status of Recovery/Suit are enclosed herewith as Annexure –I and Annexure-II. Check list is enclosed as Annexure-III

Yours Sincerely,

(AKHILESH KUMAR)

Deputy General Manager

State Bank of India,
Industrial Finance Branch
Hyderabad



ANNEXURE-3

Checklist to ensure filing of complete complaints by Banks in fraud cases

Sr.No	Details	Remarks
1.	The complainant has authorization from the competent authority to file the complaint.	Yes
2.	The account has been declared as NPA as per the laid down procedure	Yes
3.	The date of NPA and outstanding thereof have been mentioned	Yes
4.	The NPA account has been declared as Fraud, with the date of declaration	Yes
5.	Where there is delay in filing complaint with CBI after declaration of fraud by the Bank. The delay has been explained.	No delay
6.	The grounds for declaring the fraud by the bank are mentioned clearly.	Yes
7.	Details of background of company, sanctioned credit facilities, primary and collateral securities etc. are mentioned.	Yes
8.	Legal facts constituting cognizable offence have specific mention.	Yes
9.	Name(s) and role of erring official(s) as per the Staff Accountability Report is/are clearly mentioned.	Staff Accountability Report does not mention any names. However, we mentioned unknown public servants in the complaint
10.	Findings of forensic audit report if conducted and internal investigation report are duly incorporated.	Yes
11.	Details of crime proceeds/end use of funds as per the findings of forensic audit are mentioned.	Yes
12.	In case of uncertainty about the criminality on the part of bank officials, the bank has mentioned allegations against unknown public servants.	Yes
13.	Roles of CA/Statutory Auditors/stock Auditors/Empaneled valuers etc., if any are mentioned.	Not known
14.	Availability of relevant original documents and their safe custody with the bank is mentioned	Yes
15.	The Bank has ensured that there is no contradiction in the complaint as to whether it is an act of crime or business loss.	Yes



[Handwritten signature]

**GOVERNMENT OF TELANGANA
ABSTRACT**

Home Department – The Delhi Special Police Establishment Act, 1946 – Consent under section 6 of the said Act, to conduct investigation into the allegations against M/s. Vivimed Labs Limited and its Promoter Directors in relaxation of the orders issued in G.O.Ms.No.51, Home (Special) Department, dated.30.08.2022 – Permission accorded – Notification – Orders- Issued.

HOME (SPECIAL) DEPARTMENT

G.O.Ms.No.98

Dated.25.08.2025

Read the following:

1. G.O.Ms.No.160, Home (Special) Department, dated.23.09.2016.
2. G.O.Ms.No.51, Home (Special) Department, dated.30.08.2022.
3. From the Deputy Inspector General of Police & Head of Branch, Bengaluru, Lr.No.DPBSB2025/RA0782025E0002/270, dated.08.07.2025.

(****)

ORDER:

In the G.O. second read above, orders were issued withdrawing the general consent accorded to the Members of the Delhi Special Police Establishment (DSPE) vide G.O. first read above, to exercise the powers and jurisdiction under the Delhi Special Police Establishment Act, 1946 (Central Act No.25 of 1946) in Telangana.

2. The Deputy Inspector General of Police & Head of Branch, Bengaluru, in his letter 3rd read above stated that, the Central Bureau of Investigation, Banking Securities Fraud Branch, Bangalore, has received a complaint dated.01.01.2025 from Deputy General Manager, State Bank of India, Industrial Finance Branch, Hyderabad, Telangana against M/s Vivimed Labs Limited and its Promoter Directors and Unknown Public Servants and unknown Private Persons, for causing wrongful loss of Rs.424.43 cores of State Bank of India as on 31.12.2024. Further stated that, State Bank of India is a Public Sector Bank and the Central Government is the Majority shareholders of this bank and the employees of the said bank are public servants. As public sector bank has been cheated by M/s Vivimed Labs Limited and its Promoter Directors and Unknown Public Servants and unknown Private Persons and a complaint in this regard has been received by Central Bureau of Investigation for investigation of the offences punishable under section 120-B read with 420, 468, 471, 477A of Indian Penal Code, 1860 and section 13 (2) read with 13 (1) (d) of the Prevention of Corruption Act, 1988 (as amended in 2018), including any attempt, abetment and conspiracy in relation to or in connection with one or more such offences and / or any other offence(s) committed in the course of the same transaction or arising out of the same facts is required to be conducted against M/s Vivimed Labs Limited and its Promoter Directors (i) Shri Santosh Varalwar, (ii) Shri Sandeep Varalwar, (iii) Shri Manohar Rao Varalwar, (iv) Shri Subhash Varalwar and Unknown Public Servants and unknown others, for causing wrongful loss of Rs.424.43 cores to State Bank of India as on 31.12.2024. In view of the above facts that wrongful loss caused to the public sector bank, urgent investigation is required to be conducted in this matter. Therefore, the Deputy Inspector General of Police & Head of Branch, Central Bureau of Investigation, BSFB, Bengaluru has requested the Government to issue a specific consent for registration of FIR for investigation of offence as alleged in the complaint dated.01.01.2025 of Deputy General Manager, State Bank of India, Industrial Finance Branch, Hyderabad, Telangana under section 6 of Delhi Special Police Establishment Act, 1946 (Central Act No.25 of 1946).

3. Government, after careful examination of the matter, hereby decided to accord consent under section 6 of the Delhi Special Police Establishment Act, 1946 (Central Act No.25 of 1946) to the Central Bureau of Investigation for enabling them to investigation in respect of the crime to be registered under section 120B read with 420, 468, 471, 477A of Indian Penal Code, 1860 and section 13 (2) read with 13 (1) (d) of Prevention of Corruption Act, 1988 (Central Act No.49 of 1988)

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[Signature]

P.T.O.

(as amended in 2018) and any other offence that may come to light during investigation of the said case including any attempt, abetment and conspiracy in relation to or in connection with one or more such offences and / or any other offence(s) committed in the course of the same transaction or arising out of the same facts on the basis of complaint dated.01.01.2025 from Deputy General Manager, State Bank of India, Industrial Finance Branch, Hyderabad, Telangana against M/s Vivimed Labs Limited and its Promoter Directors (i) Shri Santosh Varalwar, (ii) Shri Sandeep Varalwar, (iii) Shri Manohar Rao Varalwar, (iv) Shri Subhash Varalwar and Unknown Public Servants and unknown Private Persons, for causing wrongful loss of Rs.424.43 cores to State Bank of India as on 31.12.2024, in relaxation of orders issued in the G.O. second read above.

4. Accordingly, the following notification shall be published in the Telangana Gazettee, Dated.25.08.2025:-

NOTIFICATION

In exercise of the powers conferred by section 6 of the Delhi Special Police Establishment Act, 1946 (Central Act No.25 of 1946), the Government of Telangana hereby accord consent to all the Members of the Delhi Special Police Establishment to exercise the powers and jurisdiction of the Members of the Delhi Special Police Establishment in the whole Telangana for conducting investigation in respect of the crime to be registered under section 120B read with 420, 468, 471, 477A of Indian Penal Code, 1860 and section 13 (2) read with 13 (1) (d) of Prevention of Corruption Act, 1988 (as amended in 2018) and any other offence that may come to light during investigation of the said case including any attempt, abetment and conspiracy in relation to or in connection with one or more such offences and / or any other offence(s) committed in the course of the same transaction or arising out of the same facts on the basis of complaint dated.01.01.2025 from Deputy General Manager, State Bank of India, Industrial Finance Branch, Hyderabad, Telangana against M/s Vivimed Labs Limited and its Promoter Directors (i) Shri Santosh Varalwar, (ii) Shri Sandeep Varalwar, (iii) Shri Manohar Rao Varalwar, (iv) Shri Subhash Varalwar and Unknown Public Servants and unknown Private Persons, for causing wrongful loss of Rs.424.43 cores to State Bank of India as on 31.12.2024, in relaxation of the orders issued in G.O.Ms.No.51, Home (Special) Department, dated.30.08.2022.

(BY ORDER AND IN THE NAME OF THE GOVERNOR OF TELANGANA)

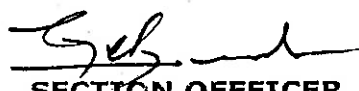
**RAVI GUPTA
SPECIAL CHIEF SECRETARY TO GOVERNMENT**

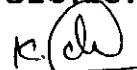
To
The Commissioner, Printing, Stationery and Stores Purchases, Chanchalguda, Hyderabad. (with a request to publish 20 copies of Gazette Immediately)
The Deputy Inspector General of Police & Head of Branch, Central Bureau of Investigation, Banking, Securities Fraud Branch, No.35, CBI Complex, Bellary Road, Ganganagar, Bengaluru-560032.

Copy to:

The Director General of Police, Telangana, Hyderabad.
The Secretary, Government of India, Ministry of Personnel, Public Grievances & Pensions, Department of Personnel and Training, New Delhi.
The Secretary, Government of India, Ministry of Home Affairs, New Delhi.
The Director, Central Bureau of Investigation, North Block, New Delhi.
P.S. to Principal Secretary to Hon'ble Chief Minister.
P.S. to Chief Secretary.
The Law (H) Department.
SF/SC.

//FORWARDED:: BY ORDER//


SECTION OFFICER



**GOVERNMENT OF TELANGANA
ABSTRACT**

Home Department – The Delhi Special Police Establishment Act, 1946 – Consent under section 6 of the said Act, to conduct investigation into the allegations against M/s. Vivimed Labs Limited and its Promoter Directors in relaxation of the orders issued in G.O.Ms.No.51, Home (Special) Department, dated.30.08.2022 – Notification issued - Errata - Issued.

HOME (SPECIAL) DEPARTMENT

G.O.Ms.No.114

Dated.27.09.2025
Read the following:

1. G.O.Ms.No.98, Home (Special) Department, dated.25.08.2025.
2. From the DIG & HB, CBI, BSFB, Bengaluru,
Lr.No.DPBSB2025/RA0782025E0002/297, dated.12.09.2025.

(****)

ORDER:

In the circumstances reported by the Deputy Inspector General of Police & Head of Branch, Central Bureau of Investigation, BSFB, Bengaluru, in the reference 2nd read above and after careful examination of the matter Government hereby issue the following errata to G.O.1st read above:-

ERRATA

Existing	Read as
section 13 (2) read with 13 (1) (d) of the Prevention of Corruption Act, 1988 (as amended in 2018)	section 13 (2) read with section 13 (1) (d) of the Prevention of Corruption Act, 1988

(BY ORDER AND IN THE NAME OF THE GOVERNOR OF TELANGANA)

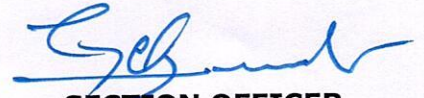
**RAVI GUPTA
SPECIAL CHIEF SECRETARY TO GOVERNMENT**

To
The Commissioner, Printing, Stationery and Stores Purchases, Chanchalguda, Hyderabad. (with a request to publish 20 copies of Gazette Immediately)
The Deputy Inspector General of Police & Head of Branch, Central Bureau of Investigation, Banking Securities Fraud Branch, No.36, CBI Complex, Bellary Road, Ganganagar, Bengaluru-560032.

Copy to:

The Director General of Police, Telangana, Hyderabad.
The Secretary, Government of India, Ministry of Personnel, Public Grievances & Pensions, Department of Personnel and Training, New Delhi.
The Secretary, Government of India, Ministry of Home Affairs, New Delhi.
The Director, Central Bureau of Investigation, North Block, New Delhi.
P.S. to Principal Secretary to Hon'ble Chief Minister.
P.S. to Chief Secretary.
The Law (H) Department.
SF/SC

//FORWARDED:: BY ORDER//


SECTION OFFICER


No. 896/N&S MC/2025
dt. 06/11/2025

[TO BE PUBLISHED IN THE GAZETTE OF INDIA, PART II, SECTION 3, SUB-SECTION (ii)]

GOVERNMENT OF INDIA
MINISTRY OF PERSONNEL, PUBLIC GRIEVANCES AND PENSIONS
(DEPARTMENT OF PERSONNEL AND TRAINING)
NEW DELHI
NOTIFICATION

Dated the 3rd November 2025

S.O.— In exercise of the powers conferred by sub-section (1) of section 5 read with section 6 of the Delhi Special Police Establishment Act, 1946 (Central Act No.25 of 1946), the Central Government with the consent of the State Government of Telangana, issued vide Notification No. G.O.Ms.No.98, dated 25.08.2025, Home (Special) Department and Errata Notification No. G.O.Ms.No.114 dated 27.09.2025, Home (Special) Department, hereby extends the powers and jurisdiction of the Members of the Delhi Special Police Establishment in the whole Telangana for conducting investigation in respect of the crime to be registered under section 120B read with 420, 468, 471, 477A of Indian Penal Code, 1860 and section 13 (2) read with section 13(1) (d) of the Prevention of Corruption Act, 1988 and any other offence that may come to light during investigation of the said case including any attempt, abetment and conspiracy in relation to or in connection with one or more such offences and/ or any other offence(s) committed in the course of the same transaction or arising out of the same facts on the basis of complaint dated 01.01.2025 against M/s Vivimed Labs Limited and its Promoter Directors (i) Shri Santosh Varalwar, (ii) Shri Sandeep Varalwar, (iii) Shri Manohar Rao Varalwar, (iv) Shri Subhash Varalwar and Unknown Public Servants and unknown Private Persons, for causing wrongful loss of Rs.424.43 crores to State Bank of India as on 31.12.2024.

[F. No. 228/84/2025-AVD-II]

(Satyam Srivastava)

Under Secretary to the Government of India

To,

The Manager,
Govt. of India Press,
Mayapuri, Ring Road,
New Delhi-110064

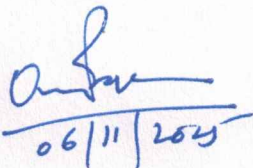
F. No. 228/84/2025-AVD-II New Delhi dated: 03.11.2025

Copy to

- (i) The Chief Secretary, Government of Telangana, Block C, 3rd Floor, Telangana Secretariat, Khairatabad, Hyderabad - 500022.
- (ii) The Director, Central Bureau of Investigation (CBI), CGO Complex, New Delhi.
- (iii) Director of Prosecution, CBI, CGO complex, New Delhi.
- ✓ (iv) NSMC, Room No. 10, 9th Floor, DoP, CBI, CGO Complex, New Delhi-110003.
- (v) Guard File.

(Satyam Srivastava)

Under Secretary to the Government of India


06/11/2025